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ARGENTINA CASE STUDY



ABOUT ARGENTINA

Once one of the richest countries in the world, Argentina has become a textbook example of recurring economic crisis. Persistent inflation, repeated sovereign defaults, capital controls, and IMF interventions have defined the country's macroeconomic story for decades, puzzling investors and economists alike. Rather than stemming from a single policy failure, Argentina's instability is the result of long-standing structural weaknesses and cyclical economic decision-making.



This case study examines the Argentine economy through a historical and financial lens, tracing how past economic models, fiscal imbalances, and credibility issues have shaped today's challenges. By understanding the roots of Argentina's inflation problem, debt dynamics, and currency instability, the study aims to provide insight into the constraints facing current policymakers—and why meaningful reform has proven so difficult to sustain.

HISTORICAL CONTEXT

Argentina's economy has undergone profound declines in prosperity in recent periods due to a variety of factors, most notably due to a bout of misguided policy decisions which ultimately led to its current state of economic instability and poverty.

1860-1930

In this period, following the expansion and progression of the global West during the industrial revolution, the Argentine Economy benefitted majorly from its possession of highly fertile agricultural land, particularly in the Pampas region, which saw a significant shift in focus in this period from livestock to crop farming. By 1880, Argentina was recognised as a global "Super exporter" supplying enough Wheat to sustain over 16 million people. The apparent boom of the Argentine agricultural sector attracted huge flows of Foreign Investment, particularly from British and North American investors, who succeeded in constructing a vast railway system containing over 27 thousand miles of railway by 1885, driving the profitability and efficiency of

British meat packing plants situated in Buenos Aires, by this point, Argentina had absorbed between 40% and 50% of all British investment outside the United Kingdom. Despite its dependence on the British market, Argentina managed a 6.7% annual rate of growth of exports between 1870 and 1890 because of successful geographic and commodity diversification.

PRE AND INTER WW1

Fiscal oversight and aggressive debt financing measures between 1886 and 1890 led to the country's first notable default on Sovereign debt. The near failure of the Baring Brothers Bank, one highly exposed to Argentine Bonds, forced Argentina to default and prompted an international financial rescue led by the Bank of England. Celman, the then president, was forced to resign shortly thereafter. This default is highly relevant to the country's current state of macroeconomic distress as it paved the way for the profoundly damaging cycle of overreliance on foreign capital, pro-cyclical borrowing during boom periods, and sudden reversals when external financing dries up.

Despite the successes of Celman's successor, Carlos Pelligrini in restoring the economic balance of the country, clearing the default and re-entering into International Bond markets, the effects of the 1st World war caused untold damage on the health of the country and its ability to uphold a stable financial system. In 1913, the country's income per head was on a par with that of France and Germany, and far ahead of Italy's or Spain's. At the end of 1913, Argentina had a gold stock of £59 million, or 3.7% of the world's monetary gold, while representing 1.2% of the world's economic output.

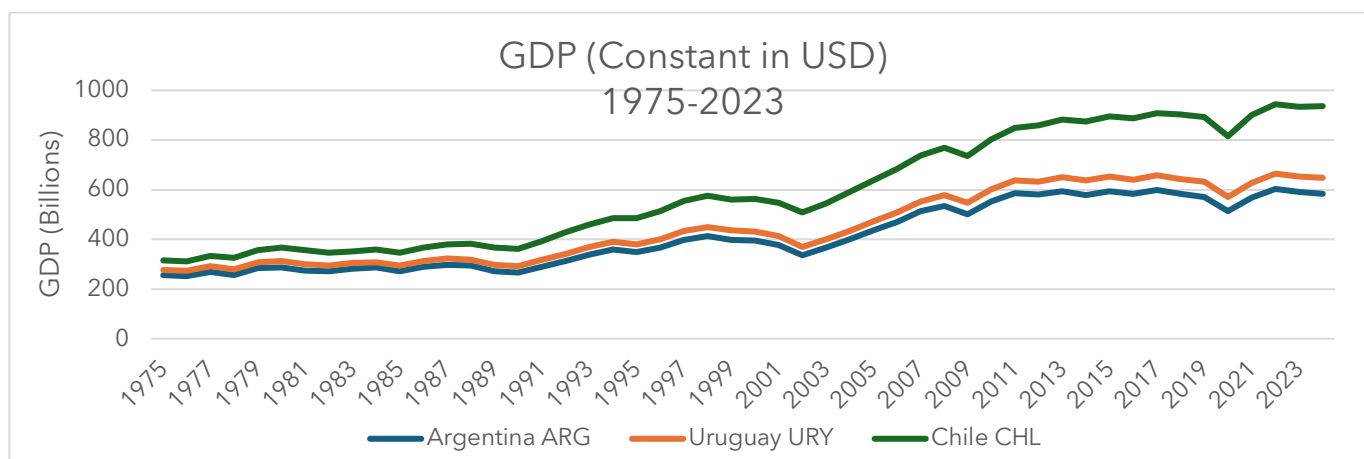
This prosperity was short lived, the beginning of World War 1 brought with it a crippling depression to Argentina, similarly to several other countries, foreign Investment in the Latin American state came to a complete standstill which it never truly recovered from. Britain had become heavily indebted to the United States during the war and was incapable of investing capital at the same rate into Argentina.

The final blow that solidified Argentina's Economic downfall over the following years was the Opening of the Panama Canal in 1914, Argentina and its other Southern Cone neighbours (namely Uruguay and Chile) experienced Major Economic declines as Britain and the United States directed their Capital Investments towards more rapidly growing economies that were experiencing rapid catch-up growth effects in Asia and the Caribbean. Argentina's financial

system scrambled to fill the gap in Investment that the British had left but it was far too underdeveloped to fund large scale projects that would truly drive the economy intrinsically. A series of political missteps in the Peronist era following the Great Depression resulted in stagnation of the Argentine economy. While Argentina initially pursued import substitution industrialization, nationalization of key industries, and expansive social programs under Juan Perón, these policies created inefficiencies, protectionism, and an overreliance on state intervention. Early gains, such as a growing middle class, industrial expansion, and infrastructure development, were undermined by high inflation, overregulation, and declining agricultural output.

After Perón's first and second Five-Year Plans, industrial growth slowed, real wages fell, and the economy became increasingly fragile. Successive governments in the 1950s and 1960s attempted to balance wage control, import substitution, and foreign investment, but persistent inflation, political instability, and poorly timed macroeconomic interventions—such as excessive currency devaluations and protectionist reversals—limited growth. By the 1970s, import substitution had largely run its course: urban migration slowed, per capita income stagnated, and rising inflation eroded living standards, leaving Argentina less competitive internationally and economically constrained.

Recent years until the appointment of current PM, Javier Milei have shown no improvement for the Argentine Economy, with the country undergoing constant cycles of over-borrowing, over printing pesos and defaulting on debt to multilateral lenders and the central bank. Since 1956, when Argentina joined the IMF, it has been involved in 22 bailout programmes.



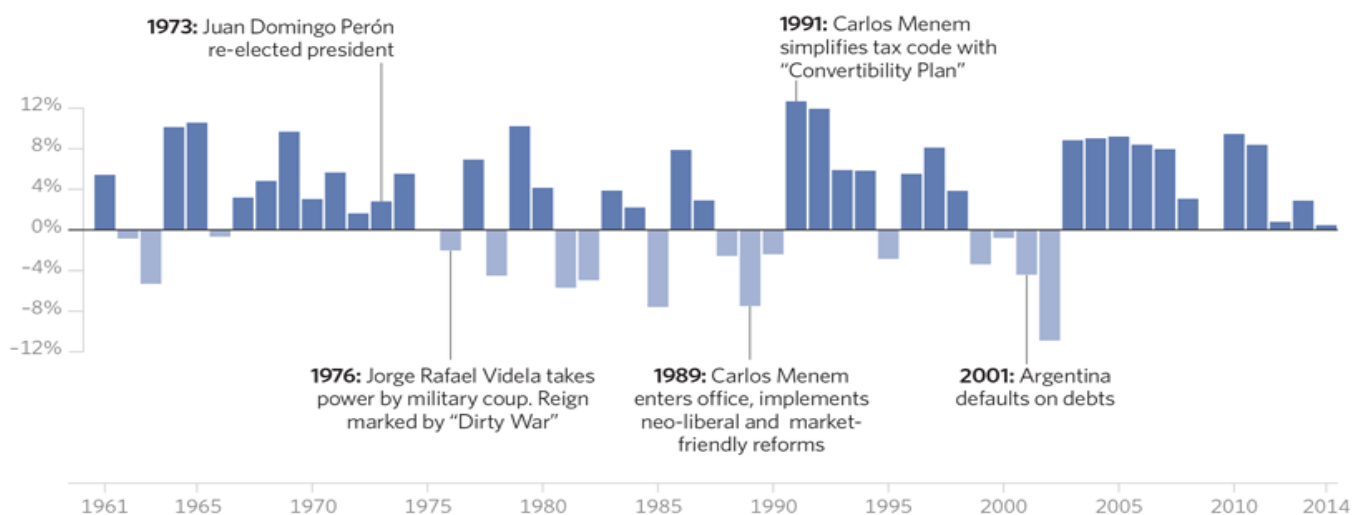
The graph above depicts Argentina's GDP over the past 50 years relative to its Southern Cone peers, it clearly depicts Argentina's inability to capitalise on its better developed infrastructure and access to trade, this is largely attributable to the countries lack fiscal stability.

These developments bring us up until the start of the 21st century, when Argentina promptly lost its access to international Capital Markets in early 2000, following on from a crippling recession in 1998, exacerbated by a multitude of external shocks over the following years, namely lowering prices for agricultural commodities and the appreciation of the US dollar, to which the peso was pegged at par.

CHART 3

Argentina's Economic Performance Swings Amid Political Turmoil

YEAR-TO-YEAR PERCENTAGE CHANGE IN GDP



Source: The World Bank, "Data: GDP Growth (Annual %)," 1961–2014, <http://data.worldbank.org/indicator/NY.GDP.MKTP.KD.ZG> (accessed January 8, 2016).

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The country's economic poverty reached a pitiful low in 2007 when it was revealed that Argentine economic reports had significantly under reported their dire inflationary problems, publishing manipulated inflation estimates to protect their bond ratings. Independent economists publishing their own estimates of Argentine inflation have been threatened with fines and prosecution.

Current situation

Since the appointment of Javier Milei in December of 2023, the new PM has proposed a highly controversial recovery plan that revolves around the idea of “shock therapy”, Milei has wasted no time in implementing his plan of lowering government spending and increasing revenues. Argentine citizens were naturally attracted by his promise of a completely reformed approach to economic recovery, having experienced countless periods of failed recovery and promised resilience.

Milei, within months of his election, slashed the number of government ministries from 18 to 8, privatising most of them to slash spending. Short term effects of this bold approach have shown sharp decreases in the monthly inflation rate, however foreign investors are not entirely convinced by his efforts, with the Peso still sliding in value gradually over recent months. The Financial Times stated that Argentina is not competing with itself from 4 years ago in its attempt to secure FDI, it is competing with other current nations with far more clean and stable economic profiles, and hence lower levels of risk.

Milei faces a large mountain to climb in regaining the trust of MNCs that have experienced previous abrupt price caps, tax hikes and repatriation bans, all while the Peso lost 99% of its value over the past decade. Central to that challenge is resolving the structural dysfunction that has long defined Argentina’s relationship with its own currency.

The foreign exchange problem

Argentina’s exchange rate problem could be described as a prolonged crisis of confidence in the national currency, the Peso. The problems of the foreign exchange market are rooted in a deep and persistent distrust toward the Peso’s ability to maintain stable value. Over time, this loss of confidence has transformed the exchange rate from a market-clearing price into a tightly controlled policy instrument, distorting economic behaviour and restricting access to foreign currency.

At the root of this is Argentina’s long-standing reliance on monetary financing to cover fiscal deficits. Repeated episodes of Peso issuance to fund government spending have sharply eroded purchasing power, reinforcing inflationary dynamics and weakening the credibility of monetary policy. As inflation accelerates, economic agents increasingly view holding Pesos as

costly. Households, firms, and public institutions seek to protect savings and working capital by converting pesos into USD, widely perceived as a stable store of value by comparison. Argentina has consistently been unable to keep up with this structural demand for dollars – export revenues, capital inflows, and foreign borrowing have all proven insufficient to satisfy it. The result is a persistent imbalance in the FX market that cannot be resolved through price adjustment alone without triggering depreciation. Rather than allowing the exchange rate to adjust freely, successive governments have responded with controls: a fixed official rate, tight restrictions on who may purchase foreign currency and for what purposes, and a system that prioritises essential imports and debt service while rationing access for households and firms. The objective has been to conserve reserves and contain depreciation, but the effect has been to suppress rather than solve the underlying problem.

These restrictions have not dampened demand for US dollars – they have simply redirected it. When access to USD at the official rate is restricted, parallel channels emerge, and Argentina now operates a system of multiple exchange rates, each reflecting different degrees of regulation and risk. The “blue dollar” – the informal market rate – has become the most widely referenced indicator of the Peso’s true perceived market value. The gap between the official rate and the parallel rate reflects a fundamental misalignment: the official rate is held in place by intervention, while the others incorporate expectations of future depreciation, inflation, and reserve depletion. This divergence steadily erodes confidence in the official rate and in the credibility of monetary policy more broadly.

The distortions created by multiple exchange rates ripple across the entire economy. Exporters are required to repatriate foreign earnings at the official rate, which is typically less favourable than alternatives – in effect an implicit tax on export activity that discourages timely conversion and encourages underreporting. Importers, by contrast, have every incentive to access official dollars, where foreign currency is artificially cheap, creating pressure for preferential treatment and opening avenues for corruption. Firms that obtain access gain a significant cost advantage; those that cannot face production delays or are forced to source inputs at far higher parallel rates. The allocation of foreign exchange thus becomes a regulatory outcome rather than a market one.

The broader economic cost of these distortions is substantial. Businesses must plan across multiple conflicting exchange rates, making it impossible to reliably forecast costs, revenues,

or returns on investment. This uncertainty deters capital allocation and erodes productivity. Expectations of further devaluation also accelerate consumer spending as households rush to convert pesos into goods or hard assets before further purchasing power is lost – increasing the velocity of money and adding to inflationary pressure. Annual inflation ended 2025 at approximately 31%, the lowest in seven years and a genuine milestone under Milei's administration, but the persistence of devaluation expectations means the inflationary dynamic has not been fully broken.

Previous administrations' attempts to suppress the exchange rate have delayed adjustment rather than achieving it. When controls become unsustainable, through reserve exhaustion or external pressure, the correction tends to be abrupt and damaging, reinforcing the very expectations of instability it was designed to prevent. The Milei administration has signalled a clear break from this pattern, pursuing the dismantling of capital controls, a shift toward exchange rate unification, and greater monetary discipline. The crawling peg introduced early in his term provided an initial disinflationary anchor, and the band-based framework adopted in January 2026 represents a further step toward flexibility. Whether these reforms deliver lasting normalisation will depend on sustained reserve accumulation, institutional credibility, and the political will to hold course through the adjustment period that lies ahead.

The foreign exchange problem is, ultimately, a credibility problem. If economic agents expect the Peso to depreciate and access to dollars to remain uncertain, pressure on the FX system will persist. Resolving it requires not just technical reform but the construction of durable institutional trust – a task that extends well beyond exchange rate mechanics and touches on the deeper question of whether Argentina can finally build policy institutions that outlast individual administrations. That question is explored further in the sections that follow, alongside the considerable economic opportunities that a stabilised Argentina now has within reach.

Looking Forward

How to capitalise and continue growth

Chile's attempts at Shock Therapy

Javier Milei's unconventional approach to reducing the country's fiscal deficit and curbing its currency's hyperinflation could be likened strongly to the policies of Augusto Pinochet during his regime as the President of Chile from 1973-1990. Pinochet was appointed as President following a destructive military coup which had rocked Chile's economy and caused severe macroeconomic instability, heightened inflation and a chronic fiscal deficit. Pinochet implemented a completely overhauled economic reform to Chile, axing public spending and liberating the Country's trade markets in an attempt to reduce the countries fiscal deficit of roughly 25% of GDP to near baseline levels by 1978. The immediate effects of this overhaul which included the privatisation of over 90% of State-Owned Firms, as well as reducing average Tariffs from 100% to 10% over this period, were largely negative. The Chilean Economy contracted heavily, with GDP contracting by 15% in the 1982 crisis, while unemployment levels spiked to highs of 30% by the early 1980's. A welcomed effect of this reform however, was the stabilising effects experienced in the Chilean Peso in this period, public confidence in the currency had been partially restored and the velocity of spending across the Economy was greatly reduced, the yearly inflation rate was cut from bizarre highs of 500-600% in 1973 to roughly 27% in 1990. This stabilisation provided a healthy baseline for the Chilean Economy to grow without a constant mistrust of future purchasing power declines. Average GDP growth rose to 7% in the late 1980's as Chile entered it's "Miracle Phase", dubbed by Milton Friedman. The success and ethical viability of Pinochet's reforms are largely disputed among Economists, his regime was undeniably successful in stabilising the country's currency values, as well as eventually restoring the country's GDP to respectable levels of growth, however the social impacts of his decisions must not be underestimated, with real wages falling 30% in the initial years of this reform, leading to harsh declines in the average welfare of Chilean Citizens at the time.

Milei's challenge in implementing his version of "shock therapy" stems largely from Argentina's democratic political structure. Pinochet's reforms in Chile were enacted under a military dictatorship, which allowed for the swift imposition of radical measures—such as deep spending

cuts, privatization, trade liberalization, and labour deregulation—while suppressing opposition through censorship, union bans, and violent repression (including thousands of disappearances and deaths). This authoritarian control minimized resistance and enabled uninterrupted implementation, even during severe recessions and high unemployment.

In contrast, Milei operates in a consolidated democracy with strong institutional checks: an independent judiciary, free media, active civil society, powerful unions (like the CGT), and a Congress where his party, La Libertad Avanza, holds significant but not absolute power. Following strong midterm gains in October 2025, doubling congressional representation, Milei has greater leverage for reforms, but he still relies on alliances (e.g., with PRO or provincial parties) and negotiations to pass legislation. Union backlash has been vocal, with frequent protests, strikes, and legal challenges against austerity measures and proposed labour changes (e.g., greater flexibility on hours, vacations, and severance pay). These democratic constraints make suppression of opposition impossible and illegal, forcing Milei to navigate public opinion, congressional scrutiny, and potential vetoes or court rulings, often leading to compromises, delays, or scaled-back proposals.

The core idea of shock therapy is rapid, comprehensive disruption to reset the economy: slashing public spending, ending subsidies, deregulating markets, and stabilizing finances to curb inflation. Milei's approach aligns with this through austerity, deregulation decrees (e.g., the 2023 DNU with over 300 measures), subsidy cuts, and fiscal tightening.

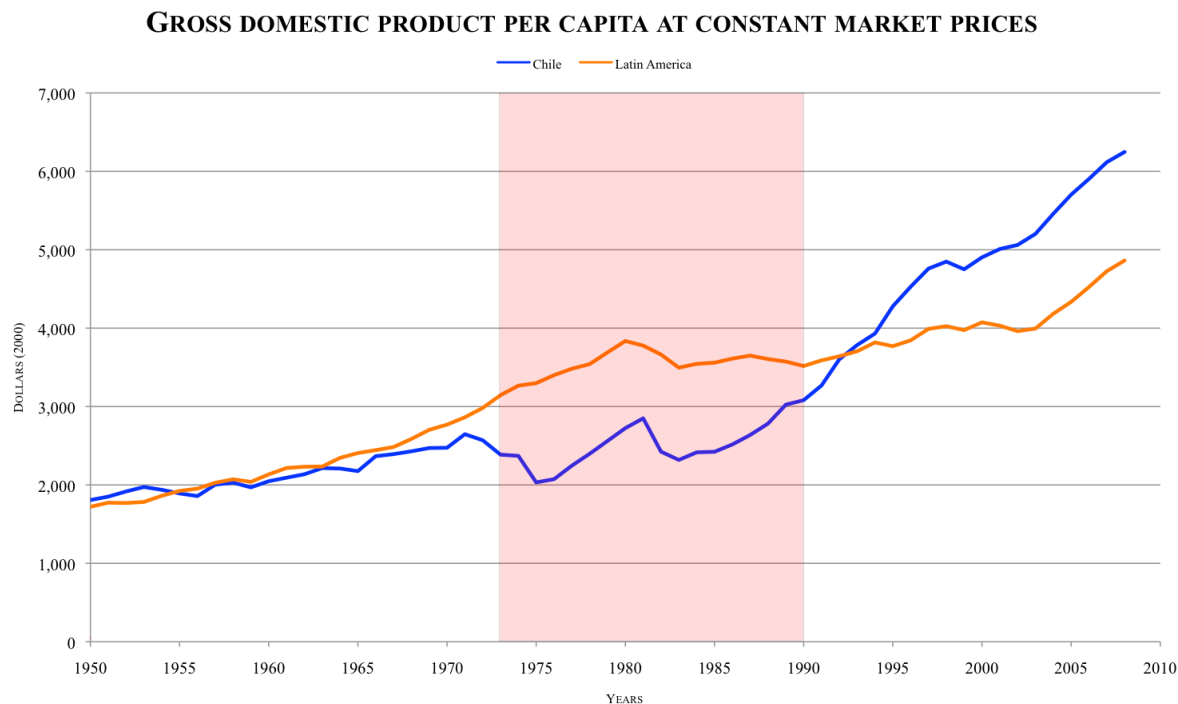
Early results of Milei's reforms have been notable but not entirely convincing,

- Argentina achieved its first fiscal surplus in over a decade in 2024 (around 0.3% of GDP overall, with primary surplus higher), reversing massive deficits from prior years.
- Inflation has fallen dramatically: from a monthly peak of ~25% in December 2023 and annual rates exceeding 200% in 2023-2024, to monthly figures stabilizing around 1.5-3% in much of 2025, with annual inflation ending 2025 at ~31.5% (the lowest in over seven years). Forecasts suggest further declines to ~20% in 2026.

These gains reflect success in stabilizing macro indicators and building investor confidence, aided by trade surpluses and external support (e.g., IMF deals and U.S. backing).

However, the true test of sustainability lies ahead. While Chile's reforms eventually delivered sustained growth after initial pain (despite the 1982 crisis), they benefited from dictatorship-enabled speed and continuity. In democratic Argentina, reforms risk being "too little, too slow"

if congressional hurdles, union resistance, or public backlash force dilutions—potentially prolonging adjustment costs like recession (GDP contracted in 2024), temporary poverty spikes (peaking above 50% in 2024 before falling to ~32% in mid-2025), and uneven recovery. The coming years will reveal whether Milei's partial successes translate into structural transformation or face reversal amid political pressures, as seen in Argentina's historical boom-bust cycles.



Early results of Milei's reform were summated by the director of EcoGo consultancy in Buenos Aires, Sebastián Menescaldi recently where he is quoted as saying, "People no longer feel their money is burning in their pocket... but they don't feel they have more of it". One of Milei's largest challenges lies in regaining and maintaining the trust and support of the Argentine public, his current approval rating sits at roughly 45%, down from circa 54% around late 2024, demonstrating that his strive for fiscal austerity is having a real impact on how Argentine public are interpreting their own quality of life and living standards. While his approval rating have dipped slightly, the public's confidence in his reformation attempts seems to be remaining steady, with 49% of the population telling a recent Baltimes survey that they believed the Economy will improve.

Looking Forward

The Importance of International Capital Markets to the Argentine Recovery

Access to international capital markets constitutes a critical pillar for sustainable economic recovery in emerging economies. These markets provide governments with the ability to secure large-scale financing on competitive terms, support essential infrastructure and productive investments, and manage fiscal pressures without excessive dependence on domestic monetary financing. For a country like Argentina, marked by recurrent sovereign defaults and persistent currency instability, regaining reliable entry to global debt markets can interrupt entrenched cycles of crisis, restore investor confidence, and channel external resources toward structural transformation.

Argentina's experience vividly illustrates the costs of prolonged exclusion. Successive defaults, most notably in 2001 and 2020, severed links to international lenders for extended periods, compelling reliance on central bank financing and leading to severe currency depreciation and hyperinflationary episodes. Capital controls, introduced to curb outflows, further distorted exchange markets, widened the premium between official and parallel rates, and deterred foreign direct investment. As examined in the Foreign Exchange Problem section above, these mechanisms form a self-reinforcing pattern: peso depreciation accelerates inflation, prompting tighter controls that in turn undermine credibility and economic activity.

Since assuming office in late 2023, President Javier Milei has pursued an ambitious stabilization program centered on fiscal discipline and market-oriented reforms. The administration has delivered primary fiscal surpluses, the first in over a decade, through deep expenditure cuts, subsidy reductions, and administrative streamlining. Supported by a \$20 billion Extended Fund Facility from the IMF approved in April 2025, the program has facilitated the gradual easing of most capital controls and a shift toward greater exchange rate flexibility. A significant milestone occurred in December 2025 with the issuance of a \$1 billion dollar-denominated bond under local law, yielding 9.26% (equivalent to a spread of approximately 550 basis points over U.S. Treasuries), the first such placement in nearly eight years. Sovereign spreads have narrowed toward the government's target of around 500 basis points in early 2026, reflecting improved

perceptions of policy credibility, though full-scale international issuance has been approached cautiously in favor of lower-cost alternatives such as multilateral facilities and domestic repos. Disinflation has advanced markedly: monthly inflation stabilized in the 2-3% range in late 2025 and early 2026 (with January 2026 at 2.9%), while annual rates hover around 32% and are projected to decline further toward the mid-teens or lower by year-end, assuming continued policy restraint.

The potential benefits of restored market access become evident when compared to Uruguay, a Southern Cone peer that has historically confronted analogous pressures but preserved its standing in global markets. In 2002, Uruguay faced a severe banking crisis and recession, GDP contracted by 11%, public debt exceeded 100% of GDP, amid regional contagion from Argentina and Brazil. Yet Uruguay obtained prompt IMF assistance, executed a pragmatic debt restructuring, and avoided protracted creditor disputes. This continuity enabled rapid re-issuance of bonds, swift compression of spreads, and implementation of reforms encompassing fiscal rules, banking recapitalization, and trade liberalization. The outcome has been sustained: average annual growth of 4-5% during the 2000s, inflation consistently below 10%, investment-grade sovereign ratings (the only such in the region), and robust inflows into agribusiness, renewables, and services, all underpinned by minimal capital flight risks.

Argentina stands at a comparable juncture. Sustained fiscal surpluses, reserve accumulation, and structural reforms, particularly in energy (Vaca Muerta shale developments) and mining (lithium reserves), could catalyze substantial foreign direct investment and export diversification. Projections indicate GDP growth around 4% in 2026, with poverty declining after initial spikes. Full re-entry to international markets would reduce borrowing costs, reinforce policy continuity, and provide the external financing needed to modernize infrastructure and mitigate commodity dependence.

Challenges persist, including political resistance, significant debt maturities (approximately \$20 billion in 2026), and vulnerabilities in reserve buffers. Nevertheless, the current trajectory, bolstered by midterm electoral gains and multilateral support, offers a credible pathway forward. Regaining access to international capital markets is not merely a financing tool; it serves as a powerful signal of institutional commitment and supplies the resources essential for converting short-term stabilization into enduring prosperity.

Recommendations Going Forward

1. Institutionalise Fiscal Discipline Beyond the Milei Administration

The most structurally damaging feature of Argentina's economic history has not been any single crisis, but rather the systemic reversal of reform following changes in political leadership. The fiscal surplus achieved under Milei in 2024, the first in over a decade, is an important milestone, but it is only sustainable if it is enshrined in formal institutional frameworks rather than dependent on the continuity of a single administration. The government should consider introducing constitutional or near-constitutional fiscal rules, similar to those used in Chile in the early 2000s. These rules set targets for the structural budget balance and are monitored by an independent fiscal council. The OECD's 2025 Economic Survey of Argentina explicitly recommends the development of a medium-term expenditure framework to replace the current year-by-year austerity approach, which remains vulnerable to political pressures and pre-electoral loosening. Without this, the risk of fiscal slippage ahead of the 2027 presidential election remains a meaningful one, and international markets will price that risk accordingly.

2. Deliver on the Natural Resources Opportunity with Urgency

Argentina sits on an extraordinarily well-endowed resource base. Its Vaca Muerta shale formation holds the world's fourth-largest shale oil and second-largest shale gas reserves. Shale oil production reached approximately 400,000 barrels per day in 2024, up from just 90,000 in 2019, and the Vaca Muerta Sur Oil Pipeline, a \$2.5 billion infrastructure project that begun in January 2025, is projected to generate \$15 billion in annual export revenues by 2027. On the mining side, Argentina holds the world's third-largest lithium reserves, representing roughly 20% of identified global resources, and its regulatory framework under the RIGI (Incentive Regime for Large Investments), which offers 30 years of tax and foreign exchange stability for projects exceeding \$200 million, has already attracted commitments exceeding \$30 billion across 20 projects. The government's ambition of \$30 billion in annual energy exports by 2030 is achievable but not guaranteed, it is contingent on continued infrastructure investment, stable regulatory conditions, and the avoidance of the nationalist reversals that have historically deterred capital from precisely these sectors. Prioritising the infrastructure bottleneck, particularly pipelines, LNG terminals, and grid connectivity, should be treated as a sovereign economic imperative on a par with the fiscal adjustment itself.

3. Rebuild the Peso's Credibility Through a Coherent and Transparent Exchange Rate Regime

Argentina effectively operates as a bi-monetary economy, in which the US dollar functions as the preferred store of value and unit of account for large transactions, while the peso serves primarily as a medium for wages and daily consumption. This dynamic reflects decades of devaluations, deposit freezes, and capital controls rather than any fundamental inadequacy of the peso as a currency. Resolving it will not happen overnight. The crawling peg mechanism introduced under Milei provided a useful disinflationary nominal anchor but created its own distortions, allowing the peso to appreciate in real terms and eroding the current account surplus accumulated in 2024. The revised band-based framework introduced in January 2026 is an improvement in terms of flexibility, but the Peterson Institute for International Economics (PIIE) has noted that it introduces new vulnerabilities and leaves the path to price stability unnecessarily narrow. The government should move deliberately toward a genuinely floating exchange rate as reserves recover, while maintaining clear and publicly communicated inflation targets and a truly independent central bank. The currency run of September-October 2025 – staved off only through a rare and exceptional US FX market intervention – underscores how fragile confidence in the peso remains, and the speed with which market sentiment can deteriorate absent credible institutional anchors.

4. Broaden the Distributional Benefits of Reform to Sustain Political Support

One of the clearest lessons of both Chile's post-Pinochet economic trajectory and Argentina's own historical cycles is that economically successful but socially narrow reform programs tend to generate the political backlash that eventually unravels them. Poverty in Argentina peaked at 52.9% of the population during the most acute phase of Milei's austerity in early 2024, before declining to approximately 31.6% by mid-2025, a recovery that is encouraging but still leaves a substantial portion of the population worse off in real terms than at the outset of the reform. Milei's approval rating has dipped from a high of around 54% in late 2024 to approximately 45% more recently. Sustaining the reform agenda through the 2027 election cycle will require demonstrable improvements in real wages, reduced utility costs as subsidy reductions are phased in gradually, and targeted support for the most vulnerable. The OECD has specifically recommended lowering social security contributions for low-income workers as a means of reducing informality and improving living standards without undermining fiscal discipline. This

is the kind of calibration that distinguishes durable reform from shock therapy that tends to generate its own reversal.

5. Complete the Return to International Capital Markets and Resist Premature Complacency

The December 2025 issuance of a \$1 billion dollar-denominated local law bond at a yield of 9.26%, the first such placement in nearly eight years, represents genuine and meaningful progress in re-establishing Argentina as a credible borrower. Sovereign spreads have narrowed toward the government's 500 basis point target in early 2026. However, it is important not to conflate improved sentiment with restored credibility. Argentina has been involved in 22 IMF programmes since joining in 1956, and only a handful have been completed as originally agreed. Completing the current \$20 billion Extended Fund Facility – approved in April 2025 – in full and on its original terms would represent a genuinely historic achievement, and the market would price it as such. The \$20 billion in debt maturities falling due in 2026 represents a near-term test that must be met without recourse to central bank financing. Continued engagement with multilateral creditors, maintained alongside a transparent communication strategy with private market participants, offers the best path to progressively reducing the cost of sovereign borrowing toward levels at which the debt burden becomes self-sustaining rather than structurally corrosive.

Investment Insights and Trade Ideas

The following section outlines a number of investment themes and directional trade ideas that arise directly from the macroeconomic analysis presented in this case study. These ideas are presented as analytical conclusions rather than financial advice, and all carry meaningful risks given Argentina's well-documented tendency to confound even the most carefully considered macro prognoses. Investors should assess each in the context of their own risk tolerance and portfolio construction requirements.

Argentine Sovereign Bonds — Constructive with Caution (Long Bias)

Argentine USD-denominated sovereign bonds – commonly referred to as Globals, issued under New York law – remain among the highest-yielding sovereign instruments in the emerging market universe. The December 2025 bond issuance at 926 basis points over risk-free, and a sovereign spread that has compressed from above 2,000 basis points in late 2023 toward approximately 500 basis points in early 2026, tells the story of a country that has made genuine but still incomplete progress in re-establishing credibility. The directional case for going long Argentine Globals rests on three pillars: continued fiscal primary surpluses, a successful IMF programme completion that would be historically unprecedented and highly price-supportive, and the growing hard currency generation capacity of the energy sector. The key risk to this thesis is political – any deterioration in Milei's approval ratings or coalition cohesion ahead of the 2027 elections could reignite spread widening sharply and rapidly. A further risk is the \$20 billion in external debt maturities due in 2026; any difficulty in meeting these through market or multilateral financing – rather than central bank reserves – would materially weaken the investment case. Investors with a 12-24 month horizon and a high tolerance for EM volatility may find value in the shorter-dated instruments, where the risk of political reversal within the holding period is lower.

Energy Sector Equities — Vaca Muerta as a Structural Long (Selective Buy)

The Vaca Muerta formation represents what is arguably the single most compelling long-term investment thesis in the Argentine economy. With production already at 400,000 barrels per day and a credible pathway to 1 million barrels per day by 2030 supported by significant infrastructure investment, the formation is generating real and growing hard currency inflows, which is precisely what Argentina has historically lacked. Vista Energy (VIST), listed on the New York Stock Exchange, is the most widely held pure-play international equity exposure to Vaca Muerta and has been a significant beneficiary of

rising shale output and the improved regulatory environment under RIGI. Pan American Energy, though privately held, has been publicly identified as a core participant in the LNG export strategy alongside YPF. Investors seeking exposure to the energy theme should be aware that the investment case is partially offset by global oil price risk – at significantly lower oil prices, the economics of Vaca Muerta deteriorate materially, as noted by analysts at Andes Wealth Management, who have cautioned that while the idea is attractive, sub-\$70 oil creates meaningful cost pressures for the formation. Goldman Sachs participated in the \$2 billion loan financing for the Vaca Muerta Sur pipeline in 2025, a signal of institutional confidence in the underlying infrastructure thesis. For investors comfortable with commodity price risk, Argentine energy equities offer a compelling growth profile that is unlikely to be replicated elsewhere in the region over the next five years.

Argentine Equities More Broadly — Asymmetric Upside in a Reform Scenario (Tactical Long)

Argentine equities, accessible for international investors primarily through the Global Depositary Receipts of Argentine companies listed in New York or through the Global X MSCI Argentina ETF (ARGT), have historically traded at very significant discounts to regional peers given the sovereign risk premium, capital control environment, and currency instability. As those conditions improve – and the OECD, IMF, and World Bank all project GDP growth of between 3% and 5% for Argentina through 2026 – the re-rating potential for Argentine equities is meaningful. Key beneficiaries of a continued reform trajectory include the financial sector, which tends to benefit disproportionately from monetary normalisation, and the consumer sector, where real wage recovery would drive a significant uplift in domestic purchasing power. Mercado Libre (MELI), while primarily a regional business rather than a pure Argentine play, has significant Argentine operations and recently had its revolving credit facility upsized with Goldman Sachs participation, reflecting institutional confidence in the broader operating environment. The key downside scenario for this trade is a political reversal – either through a significant erosion of Milei’s governing coalition ahead of 2027, or through a forced dilution of the reform agenda in response to social pressures. History suggests such reversals, while not inevitable, are far from unlikely in the Argentine context.

Key Risks to All Argentina-Exposed Positions

Any investment thesis anchored in Argentina must be stress-tested against four core risks. First, the 2027 presidential election is a binary event: a Peronist or nationalist successor to Milei could swiftly reimpose capital controls and reverse fiscal discipline. Second, a deterioration in the global commodity cycle – lower oil or lithium prices – would reduce hard currency earnings precisely when they are most needed to service debt and rebuild reserves. Third, an unexpected breach of IMF programme conditions, or difficulty meeting the approximately \$20 billion in external maturities due in 2026, would materially damage credibility across all asset classes. Finally, the exchange rate band framework remains fragile, and a disorderly adjustment of the kind Argentina has experienced repeatedly would cause simultaneous losses across local assets. The current moment is more constructive than any point in the past fifteen years – but Argentina has confounded optimists before.

CONCLUSION

Argentina's economic history is, in many respects, a study in squandered potential. A country that entered the twentieth century as one of the wealthiest per capita on the planet has spent the better part of a century in recurring cycles of overreach, crisis, and incomplete reform – each time extracting itself from the worst of the damage, only to repeat a version of the same mistakes under the next administration. Understanding why requires looking beyond individual policy errors to the structural and institutional conditions that have allowed those errors to recur with such regularity.

The root of Argentina's dysfunction is not economic ignorance but institutional fragility. As this case study has traced, the country's trajectory from nineteenth-century agricultural powerhouse to serial defaulter was not predetermined. It was the product of compounding failures: over-reliance on external capital that evaporated with World War I, the protectionist and inflationary legacy of Peronism, the catastrophic dollarisation experiment of the 1990s, and the repeated resort to monetary financing when fiscal discipline became politically inconvenient. Each episode deepened the credibility deficit that the next government inherited. The peso's collapse as a reliable store of value, reflected in the multi-tiered exchange rate system, the dominance of the "blue dollar," and the chronic structural demand for USD, is not a technical problem. It is the cumulative expression of decades in which the state could not be trusted to honour its commitments to savers, investors, or creditors.

What makes the current moment genuinely different from previous reform attempts, and what justifies cautious optimism rather than outright scepticism, is a convergence of factors that has not previously been present simultaneously. First, the scale and speed of the macro adjustment under Milei is historically unusual for a democratic government operating without the blunt instruments of authoritarian control. The first fiscal surplus in over a decade, monthly inflation declining from 25% at the point of his inauguration to around 2-3% in late 2025, and the first successful sovereign bond issuance in nearly eight years represent measurable milestones, not merely political claims. Second, and perhaps more importantly, the natural resource base available to a reforming Argentina today has no precedent in the country's post-war history. Vaca Muerta's shale reserves, already producing at 400,000 barrels per day and targeting one million by 2030, represents a structural dollar-generating capacity that could, if properly

developed, permanently alter the chronic foreign exchange constraint that has historically been Argentina's most debilitating vulnerability.

The comparison with Chile's trajectory is insightful, though it must be drawn carefully. Pinochet's shock therapy in the 1970s and 1980s succeeded in breaking the inflationary dynamic and restoring currency credibility, but it did so under conditions of authoritarian suppression that are neither replicable nor desirable. The lasting lesson of Chile's subsequent success, the sustained growth of the "Miracle Phase," the investment-grade sovereign rating, the fiscal rules and independent institutions that survived changes of government, was not the severity of the initial adjustment but the institutional architecture built around it. Chile's structural fiscal balance rule, its independent central bank, and its transparent budget framework became the binding constraints that prevented future governments from undoing what had been built. Argentina's challenge is to construct equivalent institutions within a democratic framework and under far greater time pressure, given the debt maturities and reserve pressures that crowd the near-term horizon. The OECD's recommendation for a medium-term expenditure framework and independent fiscal oversight body points in precisely this direction. Without it, the fiscal surplus of 2024 risks being remembered as a one-term achievement rather than a permanent structural shift.

The foreign exchange dimension of this reform agenda deserves particular emphasis in any forward-looking assessment. As detailed in this study's analysis of the peso's structural weakness, the multi-tiered exchange rate system is not merely a technical distortion, it represents a fundamental failure of confidence that pervades every level of economic decision-making. Exporters delay repatriation, importers lobby for privileged access, firms cannot plan investment horizons, and households hold dollars in mattresses rather than pesos in banks. Resolving this will require more than a band adjustment or a crawling peg reform. It will require the kind of sustained credibility that can only be built through consistent policy delivery over multiple electoral cycles. A genuinely independent central bank, a unified exchange rate, and transparent reserve reporting are not optional enhancements; they are prerequisites for the normalisation of monetary behaviour that sustainable growth requires.

The social dimension of reform should not be treated as a secondary concern. Poverty peaked at 52.9% in early 2024 before declining to approximately 31.6% by mid-2025 – a meaningful improvement, but one that still leaves a substantial share of the population materially worse off

than at the outset of the adjustment. Milei's approval rating has declined from approximately 54% in late 2024 to around 45%, and while public confidence in the reform trajectory has not yet collapsed, history suggests it is not unconditional. Argentina's democratic institutions, the unions, the courts, the federal congressional structure, are not obstacles to reform but ultimately its guardians. A reform programme that delivers macro stabilisation while failing to translate it into real wage growth, affordable utilities, and a declining informal economy will generate the political backlash that unravels it. This is not a counsel of caution against reform; it is a counsel for the kind of reform that is designed to last.

Whether 2026 becomes a real turning point for Argentina, or just another short-lived recovery, will depend on one key issue: can the necessary institutional reforms last beyond the current administration? Argentina has significant natural resources. Macroeconomic stabilisation is underway. International markets and the IMF have shown cautious support through financial assistance, lower sovereign spreads, and renewed access to bond markets.

What remains is the slower process of strengthening institutions, implementing credible fiscal rules, reinforcing central bank independence, improving exchange rate transparency, and maintaining social investment. These reforms are essential if the current recovery is to be sustained. While this will take time, the opportunity created during Milei's first term may not last indefinitely, making early and consistent action important.

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